MODULE 4, CHAPTER 3: UNDERWRITING & ACCEPTABLE COLLATERAL

The 3 Cs of Underwriting

- **Character:** Measures credibility, integrity, and reputation [cite: 15]. Underwriters check for past defaults, lawsuits, or inclusion on the Insurance Commission’s Negative List [cite: 15].
- **Capacity:** Measures operational capability and expertise [cite: 15]. Underwriters analyze technical facilities, resources, and current workloads [cite: 15].
- **Capital:** Evaluates financial strength [cite: 15]. Underwriters dissect audited financial statements for the past two years, tracking the Liquidity Ratio, Debt Ratio, and Debt-to-Equity Ratio [cite: 15].

Acceptable Collateral Rules

- **Cash:** The absolute standard [cite: 15].
- **Government Securities:** Must carry a maturity period of no more than one year, be free of encumbrances, and require a formal Deed of Assignment alongside physical deposit [cite: 15].
- **Savings or Time Deposits:** Must strictly match the full face value of the bond and require an officially acknowledged bank assignment [cite: 15].
- **Stock Certificates:** Must be non-speculative blue chips, hold a market value at least **twice** the amount of the bond, and have the pledge formally recorded in the issuing corporation's books [cite: 15].
- **Real Estate Mortgages:** Must be prime residential or commercial properties registered directly to the Principal, completely free of encumbrances, and worth at least **twice** the value of the bond with the mortgage legally annotated [cite: 15].

Final Compliance Checks

- **Signatory Authority:** Verify corporate signatories are legally authorized via a valid Secretary's Certificate or Board Resolution [cite: 15].
- **Collateral Security:** Confirm that all original collateral documents are physically secured [cite: 15].
- **Reinsurance:** Ensure that matching reinsurance slips are fully executed and coterminous with the bond term [cite: 15].

> **Key Takeaway:** **Underwriting is unforgiving because suretyship is a "no-loss" contract. Memorize the 3 Cs (Character, Capacity, Capital) and the strict multipliers for collateral—specifically that Stock Certificates and Real Estate Mortgages must be worth at least twice the value of the bond!**